on a fundamental basis at the time of acquisition than the comparable Contrarian Value portfolios.

In every category, the High-Growth Value portfolios look more attractive than the Contrarian Value portfolios. Table 7.6 shows the multiples of earnings, cash flow, sales, and operating earnings paid for each of the High Growth and Contrarian portfolios. Note that the multiples are comparable.

What is stunning in these results is that, while the High-Growth Value and Contrarian Value portfolios contained stocks trading on approximately the same price-to-value ratios, the stocks in the High-Growth Value portfolios were in some instances cheaper than the stocks in the Contrarian Value portfolios and yet the Contrarian Value portfolios delivered comprehensively better returns.

These results establish two propositions. First, valuation is more important than growth in constructing portfolios. Cheap, low-growth portfolios

TABLE 7.6 Valuation Characteristics of Contrarian Value and "High Growth" Value Portfolios (1963 to 1990)

Characteristics of Portfolios Formed Using Price-to-Earnings and Sales Growth

	High-Growth Value	Contrarian Value
Price-to-Earnings Ratio	6.3×	6.5×
Price-to-Cash Flow Ratio	3.9×	3.7×
Price-to-Sales Ratio	0.3×	0.2×
Price-to-Operating Earnings Ratio	2.2×	2.3×

Characteristics of Portfolios Formed Using Price-to-Book Value and Sales Growth

	High-Growth Value	Contrarian Value
Price-to-Earnings Ratio	8.7×	38.5×
Price-to-Cash Flow Ratio	4.0×	6.3×
Price-to-Sales Ratio	0.2×	0.2×
Price-to-Operating Earnings Ratio	2.1×	3.2×

Characteristics of Portfolios Formed Using Price-to-Cash Flow and Sales Growth

	High-Growth Value	Contrarian Value
Price-to-Earnings Ratio	7.0×	8.8×
Price-to-Cash Flow Ratio	3.5×	3.6×
Price-to-Sales Ratio	0.2×	0.2×
Price-to-Operating Earnings Ratio	2.1×	2.2×